Alder Power Group

Quarterly report to shareholders - Q3 2026 (quarter ended 30 September 2026)

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1. Highlights

Revenue for Q3 2026 was **USD 30.21m**, **USD 2.57m (-7.8%) below** the budgeted target of USD 32.78m. This is the first quarterly revenue miss since quarterly reporting began in Q1 2024. Revenue still grew 12.6% on Q3 2025 (USD 26.84m).

EBITDA was USD 10.44m, an EBITDA margin of 34.6%. Year to date, revenue of USD 79.79m is USD 0.13m ahead of the year-to-date target of USD 79.66m, because Q1 and Q2 were ahead of budget.

Metric	Q3 2026 actual	Q3 2026 target	Variance	Q3 2025 actual
Revenue	USD 30.21m	USD 32.78m	USD -2.57m (-7.8%)	USD 26.84m
EBITDA	USD 10.44m	-	-	USD 8.98m
EBITDA margin	34.6%	-	-	33.5%

2. Quarterly revenue against target, 2026

Quarter	Revenue	Target	Variance	Result
Q1 2026	USD 22.55m	USD 21.51m	USD 1.04m	Beat
Q2 2026	USD 27.03m	USD 25.37m	USD 1.66m	Beat
Q3 2026	USD 30.21m	USD 32.78m	USD -2.57m	Missed
YTD 2026	USD 79.79m	USD 79.66m	USD 0.13m	

3. Why revenue missed the target

The Q3 2026 budget was set in late 2025 and assumed a large step-up in revenue from the third quarter. The shortfall of USD 2.57m breaks down into three causes:

Driver	Impact on Q3 revenue	Share of miss	Explanation
Delay of Sydney Battery storage facility III	USD -1.18m	46%	The budget assumed the 170.6 MW facility would start earning grid-services revenue in July 2026. Transformer delivery slipped and commissioning is now expected on 1 September 2027.
Lower wholesale price spreads	USD -0.85m	33%	A mild winter and high solar output narrowed the daily gap between peak and off-peak prices, reducing arbitrage revenue per MWh cycled.
Unplanned outage	USD -0.54m	21%	An inverter fault took one facility offline for 11 days in August 2026. Insurance recovery has been claimed but is not yet recognised.
Total	USD -2.57m	100%	Ties to the reported Q3 variance.

Management considers the delay and the outage to be timing issues. The lower price spreads are partly structural and have been reflected in the revised outlook below.

4. Portfolio of assets

Alder owns 4 battery storage facilities in Sydney with a combined capacity of 641.7 MW, of which 471.1 MW is operating.

Asset	Capacity	Commissioning	Book value
Sydney Battery storage facility	116.4 MW	1 May 2022	USD 91.0m
Sydney Battery storage facility II	136.6 MW	24 June 2018	USD 61.6m
Sydney Battery storage facility III	170.6 MW	1 September 2027	USD 113.1m
Sydney Battery storage facility IIII	218.1 MW	10 September 2023	USD 191.3m

5. Balance sheet and funding

At the end of FY2025 net debt was USD 216.1m against FY2025 EBITDA of USD 30.7m, a leverage ratio of 7.0x. FY2025 revenue was USD 91.3m and capex USD 18.9m. Covenant headroom remains adequate, but the delay of Sydney Battery storage facility III pushes back the deleveraging the 2026 plan assumed.

6. Actions and outlook

- A second transformer supplier has been contracted; weekly commissioning reports now go to the board.
- Merchant exposure is being reduced: two new fixed-price grid-services contracts start in Q1 2027.
- Management expects Q4 2026 revenue of about USD 21.1m (management guidance, unaudited), 8.0% above Q4 2025 (USD 19.54m) but below the Q4 budget of USD 23.9m, which assumed the delayed facility would be running. Full-year 2026 revenue would then be about USD 100.9m, 2.6% below the full-year budget of USD 103.6m.
- The FY2027 budget will use lower price-spread assumptions and a later start date for new capacity.

7. Shareholders

The portfolio fund holds 26.8% of Alder Power Group, acquired on 14 November 2016.

Approved by the board of Alder Power Group. Figures are unaudited.